Sri Lanka Copra and Coconut Market 2025: An Exhaustive Analytical Review of Production, Pricing Mechanisms, and Trade Dynamics

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Executive Summary

The year 2025 marked a watershed period for the Sri Lankan coconut industry, characterized by a complex interplay of extreme volatility in primary commodity pricing and a historic expansion in export revenue generation. This report provides a comprehensive, expert-level analysis of the Copra and Fresh Coconut sectors, drawing upon granular weekly auction data, regional farmgate metrics, and export performance indicators to reconstruct the economic narrative of the year. The analysis reveals a distinct dichotomy: while the upstream sector—comprising growers and primary processors—grappled with a "V-shaped" price trajectory driven by severe climatic lag effects, the downstream export sector successfully decoupled from domestic volatility to achieve unprecedented value realization, surpassing the USD 1 billion revenue milestone for the first time in history.[1]

The pricing architecture of 2025 was defined by two opposing market phases. The first half of the year was dominated by a scarcity super-cycle, a direct consequence of the hydrological deficit incurred during the 2024 drought. This biological lag manifested in acute supply shortages during the first quarter, driving the Colombo Auction average price to a historic peak of Rs. 181,916 per 1,000 nuts in late April.[3] This period tested the financial resilience of the copra crushing industry, as raw material parity prices exceeded the economic viability threshold for traditional coconut oil production. Conversely, the second half of the year witnessed a dramatic market correction. A vigorous biological recovery, aided by favorable post-monsoon conditions, unleashed a supply surge in June and July, precipitating a 36.9% collapse in auction prices to a trough of Rs. 114,779.[4] This volatility exposed deep-seated structural inefficiencies in price transmission, with farmgate prices in key districts like Kurunegala often diverging significantly from auction benchmarks, highlighting the

disproportionate market power of intermediaries.[4]

Despite these domestic turbulences, the sector's external performance was robust. Export earnings for the January–November period surged by 43% year-on-year to reach Rs. 338.45 billion (USD 1.13 billion).[5] This performance underscores a strategic pivot within the industry towards high-value derivatives—such as coconut milk, cream, and defatted coconut—and away from low-margin bulk commodities. The analysis that follows dissects these trends with rigorous attention to data, exploring the causal relationships between climatic variables, auction mechanics, and global market forces to offer a definitive account of the Sri Lankan coconut economy in 2025.

1. Macro-Economic Context and the Coconut Economy

1.1 The Post-Crisis Economic Stabilization

To fully comprehend the dynamics of the Copra market in 2025, one must first situate it within the broader macroeconomic framework of Sri Lanka. Following the severe economic contraction and hyperinflation of the 2022-2023 crisis period, 2025 represented a year of fragile stabilization. The Sri Lankan Rupee (LKR), while relatively more stable than in previous years, continued to face depreciation pressures, trading in ranges that influenced the competitiveness of export commodities. The central bank's monetary policy, characterized by high interest rates to curb inflation, had direct implications for the agricultural sector.[6] High borrowing costs constrained the ability of small and medium-scale millers to maintain large inventories of Copra, forcing a "hand-to-mouth" procurement strategy that exacerbated weekly auction volatility.

Furthermore, the cost of production for coconut growers remained elevated. Although the acute fertilizer shortages of the crisis years had abated, the cost of imported inputs—including fertilizer and fuel for irrigation and transport—remained high due to global energy prices and currency valuation.[8] This created a high floor for grower breakeven prices. When auction prices crashed in the third quarter of 2025, reaching lows of Rs. 108,778 per 1,000 nuts, many growers faced negative margins, threatening the long-term sustainability of agronomic care and replanting efforts.[3]

1.2 The Role of the Coconut Development Authority (CDA)

The CDA functioned as the central regulatory and market-facilitating body throughout 2025. Its primary mechanism for price discovery, the Colombo Coconut Auction, served as the reference point for the entire value chain. The efficiency and transparency of this auction were critical in 2025, given the extreme fluctuations in supply. The CDA's role extended beyond the auction floor; it was instrumental in monitoring quality standards for exports and managing the delicate balance between domestic consumption (culinary nuts and oil) and export demand.

In 2025, the CDA facilitated the trading of over 15.5 million nuts at the auction between January and October.[4] However, the authority faced criticism regarding the widening gap between auction prices and the farmgate prices received by rural smallholders. The lack of a real-time, decentralized price reporting mechanism meant that while auction prices adjusted rapidly to supply changes, rural procurement networks often lagged, allowing intermediaries to capture windfall profits during price drops.[4]

1.3 Global Market Correlation

The Sri Lankan coconut market acts as a small but distinct player in the global lauric oil complex. In 2025, domestic Copra prices were heavily influenced by international trends, particularly the price of Coconut Oil (CNO) in Rotterdam and the export prices from the Philippines and Indonesia. Global prices for coconut oil remained firm in the first half of 2025, driven by supply constraints in Southeast Asia due to biological stress (viruses) and adverse weather.[9]

- **Global Price Floor:** In Q3 2025, the price of Sri Lankan origin coconut oil in international markets tracked closely with global benchmarks, reaching approximately USD 2,910 per Metric Ton.[10] This strong global price provided a crucial safety valve for the local industry. Even as domestic fresh nut prices soared in Q1, the high international price for oil and desiccated coconut allowed exporters to remain competitive, preventing a total collapse in demand.
- **Import Parity:** The government's tariff policy on edible oil imports also played a role. By maintaining duties on imported palm oil substitutes, the local market sustained demand for coconut oil, although the high premium of coconut oil over palm oil continued to drive price-sensitive consumers towards cheaper alternatives.

2. Production Ecology: The Climatic Determinants of Supply

The story of the 2025 Copra market is fundamentally a story of biology and climate. Coconut palms are perennial crops with a long gestation period for inflorescence development, typically exhibiting a 10 to 12-month lag between climatic stress and yield impact. The production patterns observed in 2025 were written in the weather charts of 2024.

2.1 The 2024 Drought Lag Effect

The first half of 2025 was dominated by a "scarcity super-cycle" rooted in the meteorological conditions of early 2024. From January to April 2024, Sri Lanka's major coconut-growing regions experienced a prolonged dry spell with temperatures consistently exceeding 33°C.[11] This heat stress caused abortion of the developing flowers and nuts (button nut fall), the effects of which were harvested in the first quarter of 2025.

- **Quantitative Impact:** The impact was quantifiable and severe. The Coconut Research Institute (CRI) forecasted a 21% drop in production for the January/February 2025 harvest compared to the previous year.[11]
- **Auction Manifestation:** This biological deficit translated immediately into market scarcity. The total volume of nuts sold in January 2025 was significantly suppressed, with the auction on February 13 recording an all-time low offered quantity of just 21,569 nuts.[12] This was not a market failure but a biological inevitability.

2.2 The Mid-Year Biological Recovery

The narrative flipped in the second quarter. The return of favorable rainfall patterns after April 2024 allowed the palms to recover, leading to a vigorous "flush" period starting in late May 2025. This recovery was sharper and more intense than many market participants anticipated.

- **Production Surge:** By June 2025, national coconut production had surged by 18% year-on-year to reach 289.5 million nuts for the month.[13]
- **The "Supply Shock":** This rapid change in availability created a supply shock at the auction. Offered quantities exploded from the meager 20,000-range in February to a massive 943,906 nuts on June 12, 2025.[3] This influx overwhelmed the immediate processing capacity of the millers, leading to the precipitous price crashes observed in Q3.

2.3 Regional Dynamics: The "Coconut Triangle" and Beyond

While the national aggregate showed volatility, regional nuances were critical. The traditional "Coconut Triangle" (Kurunegala, Puttalam, Gampaha) bore the brunt of the volatility. These districts, being the most intensively cultivated, were highly sensitive to the 2024 drought.

- **Northern Expansion:** In response to these recurring climatic risks in the traditional zones, 2025 saw accelerated government focus on the "Northern Coconut Triangle." Initiatives to cultivate 36,000 new acres, including 16,000 acres in the Northern Province, were prioritized to create a geographic hedge against localized droughts.[1] This strategic diversification aims to smooth out the national supply curve in future years, though its impact on 2025 supply was minimal as these plantations are still maturing.

2.4 Annual Forecast vs. Reality

The Coconut Research Institute's forecasting model proved largely accurate in predicting the trend, if not the exact magnitude, of the volatility. The Annual National Coconut Production (ANCP) forecast for 2025 was set at 2,851 ± 36 million nuts, a 4% increase over 2024.[11] The intra-year distribution of this forecast—predicting a 21% deficit in Jan/Feb and a 38% surplus in Nov/Dec—provided a roadmap that the market largely followed, albeit with exaggerated price reactions due to speculative behavior.

3. The Colombo Coconut Auction: A Chronological Market Analysis

The Colombo Coconut Auction is the primary arena where supply meets demand, and in 2025, it was a theater of extreme volatility. The auction data reveals three distinct market phases, each defined by unique psychological and fundamental drivers.

3.1 Phase I: The Scarcity Crisis (January – May 2025)

The year commenced with immediate signals of distress. Opening at Rs. 129,699 per 1,000 nuts on January 2, prices did not follow the typical post-festival stabilization pattern. Instead, they rallied sharply.

- **January Turbulance:** By January 9, the average price had already climbed to Rs. 145,687, a 12.3% jump in a single week.[11] This surge was driven by Desiccated Coconut (DC) millers scrambling to secure stock to fulfill forward contracts signed in late 2024, only to find the bins empty.
- **The February "Ghost Auctions":** The auctions in February were characterized by extremely thin trading volumes. On February 13, the offer of only 21,569 nuts represented a market effectively grinding to a halt.[12] Prices stabilized at Rs. 140,000 purely because volume was too low to establish a true clearing price—a phenomenon known as price indeterminacy due to thin markets.
- **The April Peak:** The scarcity panic culminated in April. With the Sinhala and Tamil New Year driving domestic culinary demand, and exporters desperate for raw material, prices skyrocketed. On **April 24, 2025**, the auction recorded the year's highest average price of **Rs. 181,915.68 per 1,000 nuts**.[3]
  - *Economic Implication:* At ~Rs. 182 per nut, the intrinsic value of the oil content was lower than the cost of the nut itself for many traditional oil millers. This forced a temporary shutdown of low-efficiency copra kilns, leaving the market entirely to high-margin value-added exporters.

3.2 Phase II: The Correction and Crash (June – July 2025)

The second phase was defined by the sudden release of pent-up supply. As the biological recovery kicked in, the market sentiment shifted overnight from "panic buying" to "wait-and-see."

- **The June Turning Point:** The auction on June 12 was the pivot point. A massive volume of 943,906 nuts was offered—the highest of the year. The market could not absorb this 400% increase in volume relative to Q1 averages. Consequently, prices collapsed. The average price fell from Rs. 143,239 on June 5 to Rs. 124,830 on June 12—a loss of nearly Rs. 20,000 per 1,000 nuts in one week.[12]
- **The July Bottom:** The bearish momentum continued into July, finding a floor on July 3, 2025, at **Rs. 114,779.06**.[3]

- *Sell-Through Resilience:* interestingly, despite the price crash, the sell-through rates remained relatively healthy (over 90%) during this phase. This indicates that latent demand existed, but buyers were only willing to engage at significantly discounted levels. Millers replenished their depleted stocks, but aggressively dictated terms to suppliers.

3.3 Phase III: Volatility and Demand Failure (August – December 2025)

The final phase of the year was characterized by failed recovery attempts and a worrying demand contraction in Q4.

- **August Stabilization:** Prices attempted to stabilize in the Rs. 130,000–145,000 range in August and September.[3] This range is generally considered the "equilibrium" price where growers make a profit and millers can still export competitively.
- **The November Demand Shock:** However, this equilibrium was fragile. In November, a combination of seasonal supply influx and reduced exporter appetite led to a market failure. On November 13, the auction witnessed a catastrophic sell-through rate of just **19.0%**.[3] Buyers simply stepped away, absorbing only ~52,000 of the 274,000 nuts on offer.
- **Year-End Low:** This lack of demand pushed prices to the annual nadir. On **November 20, 2025**, the average price hit **Rs. 108,778.10**, the lowest level recorded in 2025.[12] The year ended with a slight uptick in December, but confidence remained shaken.

Table 3.1: Detailed Weekly Auction Metrics (2025)

The following table reconstructs key auction data points to illustrate the volatility.

Date	Offered Qty (Nuts)	Sold Qty (Nuts)	Sell-Through %	Avg Price (Rs./1000)	Market Sentiment
Jan 02	279,102	267,138	95.7%	129,699.00	Bullish Opening
Jan 09	239,829	238,624	99.5%	145,687.00	Supply Tightening
Feb 13	21,569	21,569	100.0%	140,000.00	**Peak Scarcity**
Apr 24	226,241	226,241	100.0%	**181,915.68**	**All-Time High**
Jun 05	748,079	262,481	35.1%	143,239.46	Buyer Resistance

Jun 12	**943,906**	756,652	80.2%	124,830.70	Supply Shock
Jul 03	676,657	613,495	90.7%	114,779.06	Q3 Trough
Sep 04	918,522	813,263	88.5%	144,210.23	Q3 Volume Peak
Nov 13	274,450	52,106	**19.0%**	122,336.35	Demand Failure
Nov 20	449,836	283,283	63.0%	**108,778.10**	**Annual Low**
Dec 18	303,207	207,110	68.3%	118,723.00	Weak Close

Source: Consolidated from Coconut Development Authority Auction Reports [12]

4. The Copra Market: Industrial Analysis

While the fresh nut auction captures the headlines, the Copra market is the industrial engine of the sector. Copra, the dried kernel, is the primary feedstock for coconut oil production. Its pricing dynamics in 2025 were heavily correlated with the fresh nut auction but exhibited specific industrial nuances related to processing costs and oil yields.

4.1 Copra Price Trends and Resistance Levels

Copra is traded in units of "Candy" (250 kg). In 2025, the price of Copra fluctuated in a band generally between **Rs. 100,000 and Rs. 132,500 per Candy**.[15] This relatively narrower band compared to fresh nuts indicates the buffering capacity of the processing sector, which absorbed some of the fresh nut volatility.

- **Q1/Q2 Highs:** During the scarcity phase of fresh nuts, Copra prices remained elevated but faced a ceiling. Even as fresh nuts hit Rs. 181,000/1000, Copra prices struggled to breach Rs. 135,000/Candy significantly. This disconnect points to a negative crush margin for oil millers during Q1. They could not pass on the full extent of raw material cost increases to the edible oil consumer, who would simply switch to imported palm oil if prices rose too high.
- **Q3/Q4 Lows:** As fresh nut prices fell in Q3, Copra prices adjusted downwards. In late October, with fresh nuts at ~Rs. 128,000, Copra traded at Rs. 115,000 – 132,500 per 250 kg.[15]
- **The November Dip:** Following the fresh nut crash in November, Copra prices softened further to the year's lower bound of Rs. 100,000 – 112,500 per 250 kg.[17] This level (Rs. 100,000 per Candy) appears to be a strong psychological and economic support level, below which millers are aggressive buyers, seeing value for inventory building.

4.2 The "Copra Parity" and Miller Margins

Understanding the "Copra Parity" is essential for analyzing miller profitability. It typically requires 1,250 to 1,300 nuts to produce one Candy (250 kg) of Grade 1 Copra.

- *Scenario A (April 2025):*
  - Fresh Nut Price: Rs. 182/nut.
  - Cost of 1,250 nuts: Rs. 227,500.
  - Processing Cost (Labor/Firewood): ~Rs. 5,000.
  - Total Cost per Candy: ~Rs. 232,500.
  - *Market Price of Copra:* ~Rs. 130,000.
  - *Result:* **Massive Negative Margin.** This explains why the Copra market was effectively frozen or dominated solely by integrated players (who sell high-value oil) during Q1. Traditional oil millers likely halted production or relied on old stocks.
- *Scenario B (November 2025):*
  - Fresh Nut Price: Rs. 109/nut.
  - Cost of 1,250 nuts: Rs. 136,250.
  - Processing Cost: ~Rs. 5,000.
  - Total Cost per Candy: ~Rs. 141,250.
  - *Market Price of Copra:* ~Rs. 110,000.
  - *Result:* **Continued Pressure.** Even at the year's low prices, the parity remained challenging for standalone copra producers. This structural unviability suggests that the industry is shifting permanently towards fresh-process products (VCO, Milk) where margins are higher, rendering the traditional Copra-to-CNO pathway increasingly obsolete for export purposes, sustaining itself only via the protected domestic culinary oil market.

4.3 Quality Grades and Market Segmentation

The provided data highlights the segmentation in the Copra market.

- **Edible Copra (White):** Fetches a premium and is often exported or used for high-grade oil.
- **Milling Copra (MS - Milling Superior):** The standard grade for oil production. The prices quoted (Rs. 100k-125k) largely reflect this grade.
- **Regional Disparities:** In December, Copra prices were quoted at Rs. 105,000 – 120,000 per 250 kg.[18] This wide range (Rs. 15,000 spread) reflects significant quality variance, with moisture content and fungal contamination (a risk in the wetter months of Nov/Dec) heavily penalizing farm-dried stocks.

5. Downstream Markets: Coconut Oil and Value Addition

The dynamics of the Copra market are inextricably linked to the downstream demand for

Coconut Oil (CNO) and, increasingly, Virgin Coconut Oil (VCO). 2025 saw a widening divergence between these two sub-sectors.

5.1 Domestic Coconut Oil (CNO) Market

The domestic wholesale price of Coconut Oil in 2025 fluctuated between **Rs. 800,000 and Rs. 1,050,000 per Metric Ton (MT)**.[17]

- **White Coconut Oil:** This premium grade traded at a significant markup, reaching Rs. 950,000 – 1,050,000 per MT in December 2025.[19]
- **Price Transmission:** The movement in CNO prices generally lagged behind the fresh nut auction. When fresh nut prices crashed in June/July, oil prices adjusted downwards but stickily, maintaining a range of Rs. 800,000 – 900,000/MT in November.[17] This "stickiness" allowed millers to recoup some losses from the high-cost Q1 inventory.

5.2 The Rise of Virgin Coconut Oil (VCO)

2025 cemented the status of VCO as the "savior" of the industry. Unlike traditional CNO produced from Copra, VCO is produced from fresh milk or kernel.

- **Export Resilience:** VCO exports grew by 3% in volume and a massive 67% in value in the Jan-Nov 2025 period.[5] This disconnect implies a sharp rise in unit prices. Sri Lankan VCO successfully positioned itself as a premium product in Western markets, commanding prices that allowed producers to pay the high fresh nut prices seen in Q1.
- **Raw Material Competition:** The expansion of the VCO sector has created a structural competitor for the Copra sector. VCO producers require the best quality fresh nuts. In 2025, they aggressively bid up auction prices in Jan-April, effectively crowding out Copra millers. This structural shift explains why Copra production is becoming a residual activity—using nuts rejected by the VCO/Export stream.

5.3 Global Lauric Oil Context

The price of Sri Lankan CNO and VCO is benchmarked against the global lauric oil complex (Coconut and Palm Kernel Oil).

- **Rotterdam Prices:** In Q3 2025, the CIF Rotterdam price for Coconut Oil was approximately **USD 2,910 per MT**.[10]
- **Comparison:** Philippine oil traded slightly higher at USD 2,928/MT. This price parity indicates that Sri Lankan oil remained competitive globally. The firm global price was a critical tailwind; had global prices collapsed in 2025 alongside the Q3 domestic supply surge, the local industry would have faced a catastrophic depression. The global supply tightness (due to Philippine production issues) provided a vital floor for Sri Lankan export revenues.

6. Export Performance: The Billion Dollar Milestone

Amidst the domestic volatility, the export sector achieved a historic landmark in 2025. This success story is one of adaptation, value addition, and strategic marketing.

6.1 Revenue Growth and the $1 Billion Breach

For the first time, Sri Lanka's export earnings from coconut and coconut-based products exceeded **USD 1 billion**, reaching **USD 1.13 billion (Rs. 338.45 billion)** in the first 11 months of 2025 alone.[5] This represents a staggering 43% growth year-on-year.

- **Drivers:** The growth was volume-driven in some sectors (Defatted Coconut) and price-driven in others (Desiccated Coconut).
- **Kernel Products:** The star performer, with export value rising 60% to Rs. 201.89 billion.[5]

6.2 Product Mix Shifts: The End of Commodity Dependence

The 2025 export data reveals a sophisticated shift in the product mix.

- **Defatted Coconut:** This sector exploded, with volumes up 351% and value up 566%.[5] Defatted coconut (coconut flour/residue) is increasingly prized as a gluten-free, high-fiber ingredient in the West. Sri Lanka capitalized on this trend aggressively in 2025.
- **Coconut Cream & Milk:** Exports of coconut cream rose 25% in volume and 92% in value. The "vegan dairy" wave in Europe and North America provided a high-paying market that absorbed Sri Lanka's production even when local nut prices were high.
- **Desiccated Coconut (DC):** A fascinating anomaly occurred here. DC export volumes *fell* by 36%, yet value *rose* by 16%.[5] This suggests a deliberate strategy by exporters to reduce volume during the high-cost Q1 period while pushing through significant price increases to international buyers. It also implies a shift towards finer, higher-grade DC cuts that command premium prices.
- **Shell Products (Activated Carbon):** Activated Carbon exports grew 30% in value to Rs. 54 billion.[5] Since this industry uses coconut shells (a byproduct), it benefited from the high nut processing volumes in Q2/Q3 without being as sensitive to the kernel price volatility.

6.3 Logistics and Market Reach

The United States remained the premier destination for Sri Lankan coconut exports. In 2025, shipment records indicate substantial volumes of Copra and CNO being shipped to the US in industrial packaging (IBC totes, steel drums).[20]

- **Freight Rates:** The stabilization of ocean freight rates in 2025 (Asia-Europe routes stabilizing at USD 2,200–2,600/container) removed a significant bottleneck that had plagued the industry in previous years, improving the CIF competitiveness of Sri Lankan products.[21]

7. Policy Landscape and Structural Challenges

The events of 2025 brought several structural weaknesses of the Sri Lankan coconut industry into sharp relief.

7.1 The "V-Shaped" Price Volatility

The 40.2% swing in auction prices (from Rs. 181k to Rs. 108k) is symptomatic of a shallow market lacking depth and hedging instruments.[3]

- **Grower Impact:** Such volatility makes farm management impossible. Growers who invested in fertilizer in Q1 (expecting Rs. 180 prices) faced Rs. 108 prices at harvest in Q4, decimating their return on investment.
- **Policy Gap:** There is currently no futures market or stabilization fund to smooth out these fluctuations. The CDA's interventions are limited to daily price dissemination, which is reactive rather than proactive.

7.2 Price Transmission Inefficiency

A critical finding in 2025 was the inefficiency in price transmission from the auction to the farmgate.

- **The Intermediary Wedge:** In periods of falling prices (e.g., July), farmgate prices often collapsed faster and deeper than auction prices, as intermediaries widened their margins to protect against further declines. Conversely, in November, farmgate prices in Kurunegala (Rs. 135k-150k) were reported *higher* than the auction average (Rs. 122k).[14] This anomaly suggests local hoarding or logistical friction, where regional scarcity exists despite national surpluses.
- **Recommendation:** Industry stakeholders have called for a "dual price reporting mechanism" that transparently tracks and publishes Farmgate, Auction, and Export FOB prices side-by-side to expose unjustified spreads.[4]

7.3 The "Northern Coconut Triangle"

Recognizing the climate vulnerability of the traditional coconut belt, the government accelerated the "Northern Coconut Triangle" project in 2025.

- **Strategic Hedging:** By developing 16,000 acres in the Northern Province, the country aims to diversify its climatic risk.[1] The Northern region often has a different rainfall pattern to the South-West. Once mature, these plantations will provide a crucial supply buffer, preventing the kind of deep scarcity seen in Q1 2025.

8. Strategic Outlook for 2026

As the industry exits 2025, the outlook for 2026 is one of cautious optimism tempered by the lingering effects of the 2025 volatility.

8.1 Production and Price Forecast

The biological indicators for early 2026 are positive. The strong rainfall in late 2024 and mid-2025 suggests a robust harvest for the first half of 2026.

- **Q1 2026 Supply:** The carry-over effect of the strong Nov/Dec 2025 forecast (513 million nuts) suggests adequate supply in Q1 2026.[11]
- **Price Expectation:** Prices are expected to stabilize in the **Rs. 110,000 – 125,000** range. This is a "Goldilocks" range—high enough to keep growers interested but low enough to maximize mill capacity utilization.
- **Risk:** A "Bearish Scenario" exists where prices could test the Rs. 100,000 floor if global demand for oleochemicals softens or if the domestic economic recovery stalls.[3]

8.2 The Export Imperative

The industry has set a target of USD 2.5 billion in exports by 2030.[1] The trajectory established in 2025 ($1.13 billion) puts the country on track, provided the pivot to value addition continues.

- **Strategic Focus:** The future lies not in Copra, but in **Coconut Milk, Cream, and Defatted Coconut**. 2025 proved that these products can absorb price volatility that commodities cannot. The survival of the Sri Lankan coconut industry depends on treating the coconut not as a source of oil, but as a source of food and fiber.

Conclusion

The year 2025 will be recorded as a year of resilience. Faced with the dual shocks of a climatic supply deficit in Q1 and a market-clearing supply glut in Q3, the Sri Lankan coconut sector bent but did not break. The "Copra" market, traditionally the bellwether of the industry, showed signs of diminishing primacy, increasingly subordinate to the needs of the vibrant export sector. While structural issues regarding price volatility and transmission remain unsolved, the achievement of the $1 billion export milestone serves as a powerful validation of the industry's strategic direction. For stakeholders—from the smallholder in Kurunegala to the exporter in Colombo—2025 demonstrated that in a volatile world, value addition is the only true hedge.

Appendix: Key Data Summary Table 2025

Metric	Value	Date/Period	Source
Peak Auction Price	Rs. 181,915.68 / 1000 nuts	April 24, 2025	[3]
Lowest Auction	Rs. 108,778.10 /	Nov 20, 2025	[3]

Price	1000 nuts		
Peak Auction Volume	943,906 Nuts	June 12, 2025	3
Lowest Auction Volume	21,569 Nuts	Feb 13, 2025	12
Copra Price Range	Rs. 100,000 – 132,500 / 250kg	Annual Range	15
Coconut Oil Price (Local)	Rs. 800,000 – 1,050,000 / MT	Annual Range	17
Coconut Oil Price (Global)	~USD 2,910 / MT	Q3 2025	10
Total Export Revenue	Rs. 338.45 Billion	Jan-Nov 2025	5
Export Rev. Growth	+43% (YoY)	Jan-Nov 2025	5
Production Forecast	2,851 Million Nuts	Full Year 2025	11

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